GMS WEEKLY

Your Source for Recycling News

March 15th, 2024
Week 11
Volume 259, Issue 1125

Highlights:

- **Lacking candidates.**
- **India rough ride.**
- **Grim prospects.**
- **Focus elsewhere.**
- **Dry bulk highs.**
- **Scan to download and view the GMS Weekly on our Recycling App!**

QUOTE of the WEEK

"The crisis of today is the joke of tomorrow."

– H.G. Wells

MARKET COMMENTARY

RAMADAN REPRIEVE!

With the conclusion of week 11, the ongoing & seemingly endless dearth in the supply of viable candidates has been mercifully keeping the Bangladeshi & Pakistani ship recycling markets steady on the one hand, including this week where it graciously provided our friends and associates celebrating the onset of the Holy month of Ramadan, more time with their families amidst daily prayers and religious celebrations. On the other hand, the Turkish and Indian markets continue to endure their respective shares of a notably trying time, given that the Turkish Lira continues to plummet even amidst a mercifully quieter week (on account of Ramadan), while India continues to endure its share of nerve-racking volatility in local steel plate prices as well as the Indian Rupee, likely on the back of Alang Buyers anxiously anticipating the results of the upcoming General Elections next month, with voting expected to last 7 weeks & the results being announced on June 4th. With any luck, further economic measures to stimulate this lackluster economy will hopefully be implemented by the Modi government, which is expected to win in another landslide election.

Notwithstanding the above, prospects for Alang's ship recycling sector have not been quite this bad for many a year now, as most domestic Recyclers continue to abstain from the buying even today, rather than conclude at what is only being perceived as loss-making levels in these present times. Moreover, cheap Chinese billets have also started to infiltrate the local market once again and despite prohibitive anti-dumping measures being set in place, this most recent batch of imports is causing much consternation amongst Indian steel traders, as Alang Buyers are still preferring to wait-and-watch market developments even now. The industry's overall focus has therefore shifted towards a far-firmer Pakistan and Bangladesh of late, given that both markets have come back ever-so strongly since the start of the year, pursuant to an increased rate of L/C approvals & a blistering hunger to acquire tonnage, given that so many yards have been dormant following an unimpressive few quarters ending 2023. All major (sub-continent) recycling market currencies have also been on an overall positive trend of late, except the Turkish Lira, which has displayed no mercy towards its own economy, derailing itself against the U.S. Dollar & nearly declining by about TRY 1 with each passing week.

Overall, as dry bulk markets progressively reach new highs, the supply of tonnage from this sector seems likely to remain agonizingly muted for (perhaps) the remainder of the year, as a quantum of older vessels are apparently earmarked for drydocking, rather than head towards a recycling sale, all while containers too are yet to see any meaningful movement this year as well.

For week 11 of 2024, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh*	Steady	510 / LDT	530 / LDT	550 / LDT
2	Pakistan*	Steady	500 / LDT	520 / LDT	540 / LDT
3	India	Weak	480 / LDT	500 / LDT	520 / LDT
4	Turkey	Declining	320 / LDT	330 / LDT	340 / LDT

BANGLADESH

SQUARE OFF!

Ramadan descends.

After a busy last week that saw Chattogram Choppers conclude their share of small(er) LDT tonnage transactions from the Far East, this week saw a far more muted period of activity along Chattogram's recycling shoreline (and the nation overall), as the Holy month of Ramadan descended across the country, redirecting nearly all of Bangladesh's collective focus towards religious activities for the upcoming month, during what has customarily and religiously been a quieter period of fasting & prayers with family & friends.

Upward trajectory.

Notwithstanding, the rare small(er) LDT units that have been popping up for a recycling sale in recent times have not been as 'rare' anymore, given that offer levels from local Recyclers have been on an upward trajectory since January and the firmer offerings are certainly encouraging the Owners of these end-of-life ships to make the voyage to Bangladesh.

Local port reports also highlight the number of fixtures that arrive Chattogram's anchorage every week – including this week, whereby a couple of decent sized units were beached.

Meanwhile, domestic fundamentals have certainly been lending more than their share of a helping hand to domestic Buyers via steel plate prices that continue to flatline at levels that evidently remain strong enough to support ongoing offerings, all while the Bangladeshi Taka appears to be on a regimented timeline as it returns back to BDT 109.48 against the U.S. Dollar, week-after-week, regardless of its mid-week volatility.

Ship-recycling renaissance?

As such, Bangladesh remains the top placed ship-recycling destination in the world and is definitely a market to keep an eye out for in the foreseeable future, given that any of the vessels coming in from the Far East will more than likely just head towards Bangladeshi shores, all while those vessels coming in from the West seem just as destined for the beaches of Gadani, as both markets square off against one another in 2024s 1st Quarter post-L/C easing, and upcoming HKC readiness ship-recycling renaissance … of sorts.

NO MARKET SALES REPORTED

INDIA

PROLONGED MALAISE!

The Indian ship recycling sector continues to suffer from a seemingly self-induced & prolonged malaise, given that very few Alang Buyers are still refraining from dipping back into the market at the present time, even on the tiny number of candidates that have sporadically mushroomed for a recycling sale, despite the scorching global shortage of recycling tonnage.

Not keen.

As Alang approaches the onset of Q2, whereby only a pinch of HKC green units and specialist / offshore vessels have sporadically been introduced for a recycling sale thus far in 2024, this week remained no different given that other than juicy large LDT fishing vessel being delivered to a local Recycler, it remained a silent overall week in Alang.

As such, it really has been a financially restrictive diet for Alang Buyers of late, especially given that a majority of the large(r) LDT recycling candidates have diverted towards Gadani / Chattogram shores as prices have been so much firmer from Alang's far less-reticent neighbours.

No regret.

Meanwhile, Indian fundamentals (certainly local steel plate prices) have seemingly answered a large part of the lingering question (about Alang's performance) in spades this week as not only did plate levels depreciate over USD 8/Ton over the course of the week (essentially eviscerating the tiny collection of gains made of late), but the Indian Rupee also continued to dither through the week as it depreciated rapidly towards Rs. 83 against the U.S. Dollar – ending the week at a still firm Rs. 82.85.

Furthermore, with the announcement that the Indian elections will be concluded in batches and the results will be announced on June 4th, PM Modi's supporters from his home state of Gujarat are certainly anxious about the results and the overall economic future of the nation post-elections.

Inactive plots.

Accordingly, the indelible reticence to acquire that continues to emanate out of Alang remains overtly obvious and it doesn't seem as though there is much regret about this, or about the number of inactive / dormant plots there at present, given that Holi Holidays are creeping up around the corner.

NO MARKET SALES REPORTED

PAKISTAN

MAKING THE MOST OF!

Competitive.

Ever since the easing of L/C restrictions in Pakistan back in January of this year, Gadani Buyers have been showcasing their aggression to acquire tonnage via their ongoing local deliveries on a number of recycling units of all sizes that have been opening up for sale West of Sri Lanka thus far in 2024, as domestic Recyclers continue to cough up some of the strongest levels on offer across the global ship-recycling markets in current times.

The recent easing in the availability of financing mechanisms & L/Cs for domestic Recyclers has also led to a number of large(r) LDT deals being concluded into Gadani of late, including a locally favored Capesize Bulk Carrier that finally greeted Gadani's anchorage earlier this quarter.

Financing boon.

Notwithstanding, it remained another empty-handed week for the local sales board, thanks primarily to the various surging freight sectors, and the fact that any available tonnage that has been coming into the market of late, has been sailing in from the Far East making it far more commercially viable for Ship Owners & Cash Buyers (of "as is" units) to head straight to Chattogram shores instead.

Moreover, as with their Bangladeshi counterparts, the lack of local fixtures into Pakistan this week has more-than-likely not affected local sentiments a great deal, in that, the nation remains pre-occupied with Ramadan prayers & festivities with family. Local fundamentals haven't created any fiery infernos in domestic appetites either, as steel plate prices continue to flatline each week, all while the Pakistani Rupee firmed notably as well, jumping nearly a Pakistani Rupee to PKR 278.59 against the U.S. Dollar.

Empty handed.

For now, especially until the conclusion of the Indian elections & hopefully before the onset of the monsoon season in early June, both Pakistani and Bangladeshi markets will continue to lead the way, in terms of firming offers and prompt deliveries.

NO MARKET SALES REPORTED

TURKEY

R&R

Turkey's rabid inflation and correspondingly depreciating Lira have collectively done little to alleviate the disastrous state of the nation's domestic ship recycling sector, especially through this ongoing & degraded phase of diminished tonnage supply.

Little to alleviate.

Moreover, even though the occasional private unit has (reportedly) graced the nation's waterfront - drip-feeding Aliaga Buyers with some lifesaving (yet rare) nourishment - Aliaga has been a ghost-town for the most part, with little to no activity being witnessed at local recycling yards for nearly a year now.

Meanwhile, the onset of Ramadan holidays has visibly eased up on the trading of domestic steel, given that there was no movement reported in neither import nor local steel plates prices this week, essentially halting their descend from recent weeks. Moreover, the state of the Turkish Lira has turned near comical in recent times via its bottomless decline, as it has already entered deep into TRY 32 territory, ending the week at levels approaching TRY 32.30 against the U.S. Dollar.

Last 3 quarters.

Geopolitical conflicts in the Red Sea that have resulted in higher global charter rates for this prolonged period have also resulted in a blatant absence of vessels on the recycling horizon even on clear sunny days, despite there being calm waters all around the various ship recycling destinations worldwide.

As such, Turkish Recyclers can definitely enjoy a month of R&R (rest & relaxation) until fresh business-anxieties post-Ramadan remind Aliaga Buyers just how constrained their ship recycling sector has been over the last 3 quarters (at the very least) and will more than likely resume a noteworthy decline in the immediate future.

Fresh business anxieties.

NO MARKET SALES REPORTED

INTERESTING SPACE FACTS.

- *A black hole was spotted by the James Webb Telescope this year, twisting a star into a doughnut and 'eating' it.*
- *NASA introduces the next crew to go the Moon. The crew of Artemis II, the first crewed mission to orbit the Moon in 52 years, is named. It includes Victor Glover (the first person of color to go to the Moon), Reid Wiseman, Christina Koch (the first woman to go to the Moon) and Jeremy Hansen.*
- *ESA launches the Jupiter Icy Moons Explorer (JUICE) mission. Described as a "perfect launch", JUICE was sent to search the gas giant and three of its moons for evidence of life. Five months after JUICE's launch, the JWST detected carbon in the salty liquid ocean on Europa, confirming the moon as the most promising host for alien life.*
- *SpaceX's Starship explodes in a fireball shortly after liftoff. After an attempted launch on 17 April, the SpaceX Starship lifted off on 20 April, only to explode minutes later when its first and second stages failed to separate.*
- *ESA celebrates the 20th birthday of its Mars Express camera with live footage of the Red Planet.*
- *Euclid launches to map the dark Universe and further our understanding of dark energy and dark matter.*
- *Scientists at Caltech reveal their discovery of a two-faced star: a white dwarf made of hydrogen on one side and helium on the other. The hydrogen side appears brighter, while the darker, helium side bubbles and spits away behind it.*
- *Scientists witness the start of giant planets being born: a new image from the European Southern Observatory shows clumps of dusty material orbiting a young star and assembling into spiral 'arms' bigger than our Solar System. If these collapse, they could form planets the size of Jupiter.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
March 25 – March 26 – Holi March 29 – Good Friday	March 08 – March 15 March 26 – March 30

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
March 17 – Sheikh Rehman's Birthday March 26 – Independence Day	March 11 - March 14 March 25 – March 28

BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No Holidays through March	**March 11 – Bank Holiday Only** March 23 – Pakistan Day	**No Holidays through March**

Prices indicated above are as reported in the market and are not necessarily accurate. This information is provided without prejudice and is given in good faith and without any guarantees whatsoever. While every care has been taken in the preparation of this report, no liability can be accepted for any loss incurred in any way whatsoever by any person relying on the information contained herein. Opinions expressed herein may be deemed subjective and arbitrary. This WEEKLY is intended only for the person or entity to which it is addressed and may contain confidential and/or privileged material. Any review, retransmission, dissemination, or other use of this information by persons or entities other than the intended recipient is prohibited.

ALANG - Port Position as of March 15, 2024

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Ancier*	*9,283*	*RoRo*	*Beached March 10*
2	*Sarco*	*16,627*	*Fishing Vessel*	*Beached March 12*
Total Tonnage		**25,910**		

CHATTOGRAM - Port Position as of March 15, 2024

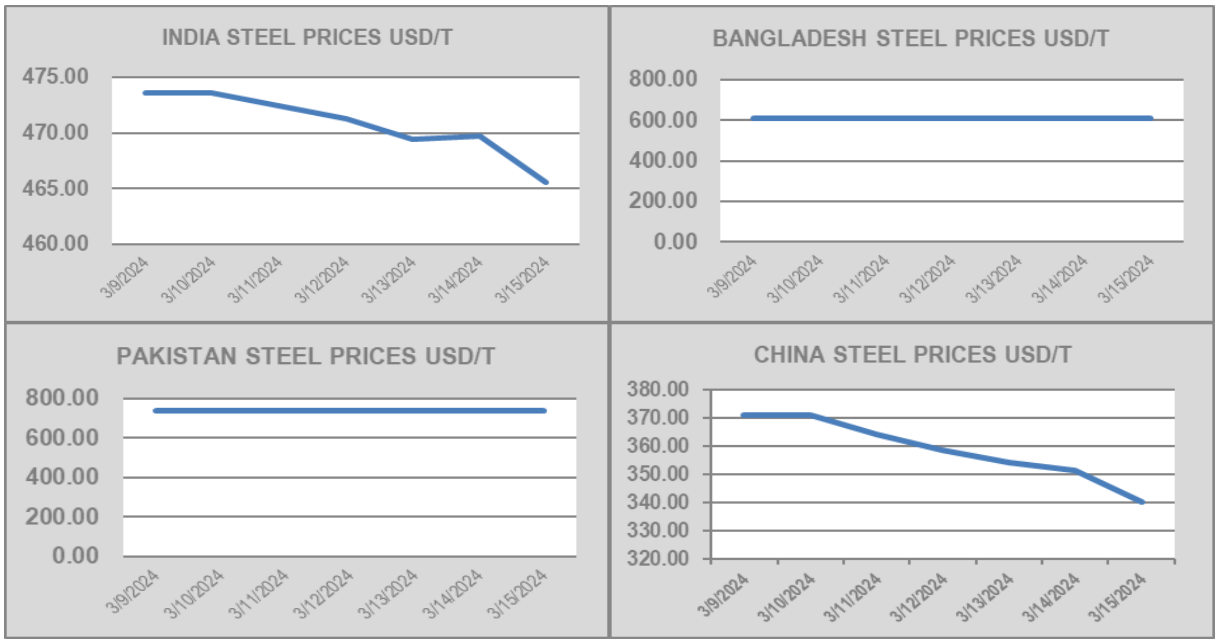
No.	VESSEL NAME	LDT	TYPE	STATUS
1	*EZ Fortuna*	*7,371*	*Bulk Carrier*	*Beached March 15*
2	*Jahan Brothers*	*9,171*	*Bulk Carrier*	*Beached March 11*
3	*LMS Laxapana*	*1,205*	*Tanker*	*Beached March 15*
4	Xin Xiang Rui	4,933	Bulk Carrier	Arrived March 13
5	*Yildizlar 2*	*10,347*	*Woodchips Carrier*	*Beached March 13*
Total Tonnage		**33,027**		

GADANI - Port Position as of March 15, 2024

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Oscar 1*	*1,048*	*General Cargo*	*Beached March 13*
2	Rong Da Chang Sha	9,654	General Cargo	Arrived March 09
Total Tonnage		**10,702**		

WHILE EXTREME CARE HAS BEEN TAKEN IN THE PREPARATION OF THIS REPORT, NO LIABILITY CAN BE ACCEPTED FOR ANY LOSS INCURRED IN ANY WAY WHATSOEVER BY ANY PERSON RELYING ON THE INFORMATION CONTAINED HEREIN.

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
3/9/2024	473.54	39,200.00	736.28	208,000.00	607.32	74,700.00	371.24
3/10/2024	473.54	39,200.00	736.28	208,000.00	607.32	74,700.00	371.24
3/11/2024	472.45	39,100.00	736.28	208,000.00	607.32	74,700.00	364.24
3/12/2024	471.24	39,000.00	736.28	208,000.00	607.32	74,700.00	358.64
3/13/2024	469.47	38,900.00	736.28	208,000.00	607.32	74,700.00	354.57
3/14/2024	469.69	38,900.00	736.28	208,000.00	607.32	74,700.00	351.54
3/15/2024	465.51	38,600.00	736.28	208,000.00	607.32	74,700.00	340.26



www.gmsinc.net
GMS_Leadership
GMS Leadership
snp@gmsinc.net

Athens, Greece Tel: +30.210.899.0669
Cumberland, USA Tel: +1.301.759.9240
Hamburg, Germany Tel: +49.40. 3197.9963
Shanghai, China Tel: +86.216.075.1900
Singapore Tel: +65.6823.8037
Bhavnagar, India Tel: +91.278.300.5253
Dubai, UAE Tel: +971.4.423.0720
New York, USA: +1.240.505.9716
Seoul, South Korea Tel: +82.10.4650.0720
Tokyo, Japan Tel: +81.3.5453.6311